



USER REQUIREMENT DOCUMENTATION

VERSION #	IMPLEMENTED BY	REVISION DATE	APPROVED BY	APPROVAL DATE	REASONS
1.0	Azri Kamal	9 th January 2024		9 th January 2024	Document Creation

INTRODUCTION

These are the User Requirements Specifications for the **Enhancement of MIS Loan Database** used by EXIM Bank to support the **computation of Expected Credit Loss (ECL) for Stage 1 and Stage 2 based on the S&P Credit Risk Rating (CRR) Scorecard.**

The objective of this enhancement is to incorporate six new data fields into the MIS Loan Database. These additional fields will support the parallel run of both the Internal Credit Rating (formerly known as FACT) and the S&P CRR Scorecard. All existing FACT-related fields will be retained. The new S&P-related fields required are Rating at Origination, PD, PD%, PD segment, LGD%, ECL.

USER REQUIREMENTS

No.	Requirements	Department
1.0	MIS Loan Database	
1.	Add 4 new columns for PD rating (S&P): 1) S&P Credit Rating at Origination 2) PD Rating at Origination (S&P) 3) S&P Credit Rating 4) PD Rating (S&P) Column with "at origination" may be filled up by Banking and the other 2 may be filled up by Credit Risk as per the treatment for IR/FACT. As per below table, S&P Credit Rating will be in Alphabet form range from aaa to d while PD will range from PD1 to PD 10. Refer to the below table, it is suggested that the PD1 to PD 10 will be automatic upon the S&P rating has been filled up and the mapping will as per the table below.	Banking Department, Credit Risk

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2.	Add 2 new column for PD% (S&P): 1) PD% at Origination (S&P) 2) PD% (S&P) <i>It was suggested the PD% is automated upon the filled up of the rating, the same treatment for IR/FACT.</i> <i>As per suggested by IT the template that contained the list of PD% will be uploaded.</i> <i>The list of S&P PD Segment and S&P PD% will be attached together in the email.</i>	Credit Risk Department (could be transitioning to Finance)
3.	Ass a column for S&P PD Segment, the PD Segment chosen to get the S&P PD%. <i>The list of S&P PD Segment and S&P PD% will be attached together in the email.</i>	
4.	Add a new column for LGD % (S&P). A new column LGD % (S&P) is to be added. <i>Under the current Internal Credit Rating framework, LGD is manually keyed in by the Credit Risk Department (Ridzwan). The same process may apply for the S&P LGD during the initial implementation. It is anticipated that responsibility for maintaining this field could be transition to the Finance Department. For reference, below is the S&P LGD%:</i>	Credit Risk Department (could be transitioning to Finance)

LGD	LGD%
1	9.84%
2	24.84%
3	44.84%
4	64.84%
5	84.84%
6	104.84%

For reference, previously, it is as per below:

LGD Segment	LGD%
Partially Secured	39.54%
Fully Secured	0.89%
Unsecured	80.82%
Sovereign	54.00%

5.	Add 2 new column for ECL (Expected Credit Loss) (S&P): 1) ECL (Expected Credit Loss) (LAF) (S&P) 2) ECL (Expected Credit Loss) (C&C) (S&P): ECL will initially be calculated by the Credit Risk Department (Ridzuan) using a VBA-scripted Excel template. Upon completion of the calculations, the Credit Risk Department will submit the file to the Finance Department, which will then upload the ECL results into the MIS system. It is expected that, in the future, the Finance Department will perform the ECL calculations directly, instead of the Credit Risk Department. Although a general ECL formula ($ECL = PD \times LGD \times EAD$) was provided by Rafik in the previous URS, this formula is not required to be implemented by IT for this enhancement. The ECL will continue to be calculated outside the system (in Excel) and subsequently uploaded into the MIS, in line with existing practice. Therefore, no detailed ECL calculation logic or formula is required for IT development for this newly added column; the system only needs to support the capture and storage of the calculated ECL value.	Credit Risk Department (calculation), Finance Department (upload & future calculation)
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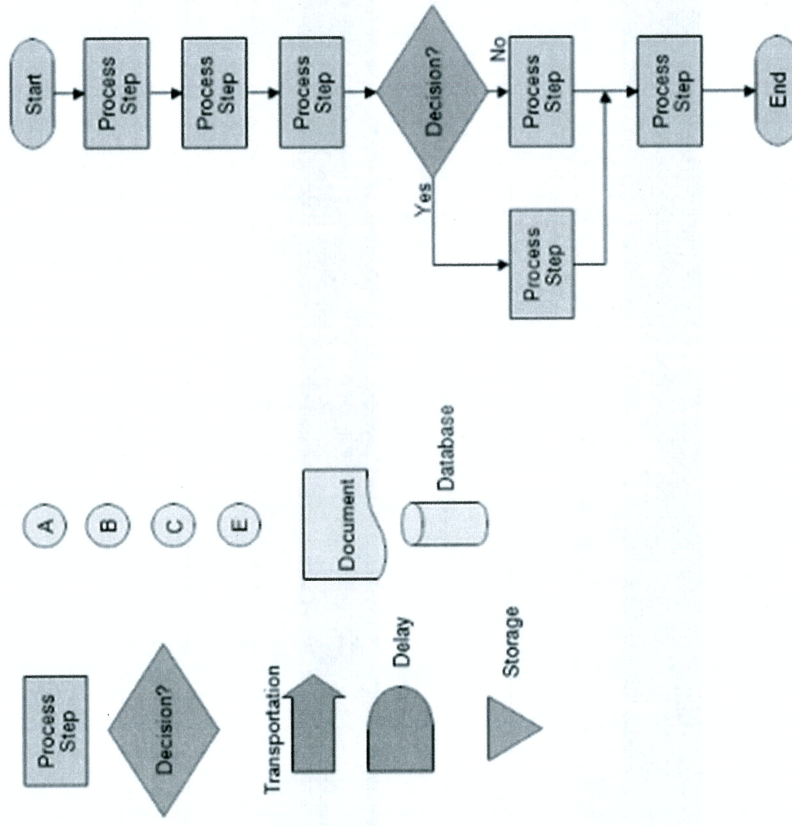
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Requirements		Department
No.		
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Requirements		Department
No.		
4.0		
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OVERALL PROCESS FLOW

Process Flow Diagram Template



REFERENCES

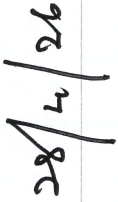
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PROJECT SPONSORPROJECT MANAGERPROJECT START DATEPROJECT END DATE

SIGN-OFF

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